Skills Assessment



Examiner Report
Advanced Reporting & Performance

Term 3
2025

Skills assessment

Subject: Advanced Reporting & Performance

Term: Term 3 2025

Commentary on Performance

SECTION 1

Section 1 in an ARP assessment requires candidates to advise on accounting requirements for an individual company, before preparing an extract from the financial statements.

In this assessment, candidates had to advise on how some share transactions, valuation of properties in terms of IFRS 13, and some deferred tax matters should be accounted for before preparing an extract of the statement of changes in equity in accordance with IAS 1 presentation requirements. They then had to evaluate a proposal to prepare a seventh month interim report and advise on the contents of the report in terms of IAS 34.

Question 1

Candidates were provided with information about several share transactions that took place, including the issue of preference shares, the exercise of share options where the premium was incorrectly recorded against retained earnings, and a rights issue. Candidates needed to advise on the accounting treatment and provide journal entries to correct/record the transactions.

What was done well	What could be done better
• This section was answered well by candidates. • The majority of candidates gave sufficient explanations for the various transactions as well as preparing the correcting journals.	• While candidates often knew why adjustments were needed as their journals were correct, they did not always *advise* why the adjustments were needed.

Question 2

Candidates were provided with details about the fair values of two properties. Candidates had to advise on the appropriate valuation of the properties and calculate and record the necessary fair value adjustments.

What was done well	What could be done better
• Candidates could calculate the fair value adjustments and prepare the journal entries to record the changes in fair value.	• While candidates could identify the correct fair value for the warehouse, they did not always advise *why* that value was the most appropriate one, and how one would arrive at determining that value (adjusted cost approach). • There seemed to be a lack of understanding of what *'highest and best use'* means - a number of candidates knew the theory of highest and best use, and that one must use this when determining fair value, but failed to actually use this value in their calculation since it related to residential units, and the building in question was office buildings. • When preparing the journal entry for the revaluation, candidates split the cost and accumulated depreciation, and while this is not incorrect, it was not necessary and could have wasted time.

Question 3

Candidates were given information in Appendix 3 about the breakdown of temporary differences and the deferred tax thereon at the beginning of the year (accelerated capital allowances and revaluation surplus) and needed to advise on 1) why deferred tax arises, and 2) the journal entries to account for deferred tax for year ended 30 April 2025.

What was done well	What could be done better
• Several candidates were able to identify that deferred tax is the tax on a temporary difference. • Many candidates were able to calculate the accelerated capital allowances deferred tax balance at 30 April 2025. • Most candidates remembered to include the deferred tax on the revaluations that took place in Q2 in the calculation of the year end deferred tax balance.	• Candidates could have explained how deferred tax arises more thoroughly - most just referred to temporary differences but didn't expand on where they came from (difference between accounting and tax) and what they resulted in (deferred tax liability or asset). • Many candidates forgot to use the £3,700 opening balance of the revaluation surplus temporary difference in their closing deferred tax balance calculation.

	• Many candidates did not calculate the OCI portion of the movement in the deferred tax liability that related to the revaluation surplus. • Many candidates did not calculate the movement in the deferred tax liability, journalising the full 2025 liability.

Question 4

Candidates were provided with an Excel workbook with a template of the statement of statement of changes in equity. Candidates needed to complete the template considering their adjustments in Q1-Q3. They needed to comply with the presentation requirements of IAS 1.

What was done well	What could be done better
• Most candidates made a good attempt at processing the journals from the previous requirements.	• Most candidates did not prepare their statement in accordance with IAS 1 (grouping similar transactions as line items), rather showing each transaction separately on the statement. • Many candidates missed including the £120k exercise of share options in ordinary share capital from the question. • Many candidates did not carry through the deferred tax adjustment to retained earnings. • Many candidates did not total their rows, despite this being an easy mark to gain.

Question 5

Candidates were provided with a scenario where the directors of the company wanted to prepare a 7-month period interim report. Candidates needed to evaluate whether this was appropriate and advise on the basis of preparation of the report.

What was done well	What could be done better
• The majority of candidates correctly concluded that seven months was inappropriate and clearly articulated that actual figures needed to be used, as well as the same accounting policies as the actual financial statements.	• Poorer candidates justified the seven months, rather than critically evaluating it against IAS 34. • Some candidates were very vague about the basis of the preparation of the report.

SECTION 2

Section 2 in an ARP assessment is always based on a group scenario. Candidates are required to advise on one or more topics and to prepare an extract from the consolidated financial statements.

In this assessment, information was provided about a step acquisition. The % ownership changed at the end of the reporting period, so candidates needed to determine which was the correct % to be used, and calculate the adjustment required when ownership changed. There was also a fair value adjustment on a financial liability at acquisition which required an adjustment to finance costs on consolidation, as well as intragroup trading and dividends that needed to be eliminated on consolidation. Information was also provided about a joint venture that will be acquired by the subsidiary in the next reporting period and candidates had to advise on how the joint venture should be accounted for.

Question 6

Candidates had to prepare the consolidation journal entries for the group for the reporting period. They did not have to do the final step.

What was done well	What could be done better
• Journal entries and workings were generally easy to follow. • Goodwill calculation was generally accurate and most identified the correct NCI percentage. • Even though some journals were not done or calculations done incorrectly, candidates were still able to earn some marks for showing their calculations or by continuing with the question.	• The increase in controlling interest was often missed or poorly answered. • Many candidates missed the adjustment required to finance costs for the financial liability, and its impact on NCI. • Many candidates posted the dividend journal incorrectly. • Many candidates calculated unrealised profit incorrectly or didn't take NCI into account when doing the intragroup trading.

Question 7

Candidates were provided with the statement of profit or loss of the two companies in a spreadsheet and had to process their consolidation journals to construct the consolidated statement of profit or loss.

What was done well	What could be done better
• Many candidates made a good attempt at processing their consolidation journal entries from Q6. • The journals were also referenced, making it easier to mark.	• Candidates should make sure that the correct sign is used (adding a debit adjustment to a debit balance, deducting a debit balance from a credit balance etc) when processing the journals.

Question 8

Candidates needed to advise on how a joint venture should be accounted for.

What was done well	What could be done better
• The majority of candidates recognised that the equity method was appropriate and gave a reasonable attempt at the basis of preparation using the equity method.	• Many candidates *only* discussed the equity method, failing to identify that the investor did not have to prepare group accounts and therefore not considering other options that were available as well, for example at cost, or in terms of IFRS 9. • Only a few candidates mentioned that consolidated financial statements were not required. • Some candidates seemed to confuse joint ventures/ joint control with associates/significant influence. Candidates should ensure when preparing for the exam that they understand what a joint venture is and how it is different from an associate, including its accounting treatment.

SECTION 3

In the ARP assessment, Section 3 will test non-financial disclosures.

In this assessment, candidates had to explain what the purpose of an integrated report is and how It incorporates sustainability matters. The ethics requirement was also in this section, along with candidates needing to evaluate draft disclosures in terms of IFRS S2.

Question 9

Candidates had to explain what the purpose of an integrated report is and how It incorporates sustainability matters.

What was done well	What could be done better
• Most candidates were able to explain how integrated reports incorporate substantiality.	• Many candidates did not mention the notion of capitals at all, nor the impact on their value. • Many candidates wrote about the different types of materiality, or the intended users of an integrated report, which was not what the question was asking for.

Question 10

Candidates were given an email from the finance director with an instruction to avoid preparing disclosures in terms of IFRS Sustainability Disclosure Standards.

What was done well	What could be done better
• Most candidates accurately discussed the impact of the issue on objectivity, professional behaviour and professional competence. • A good number of candidates could identify and explain what the issue was.	• Several candidates failed to articulate the issue. • Some candidates confused the different principles, for example, explaining how the bonus being threatened impacted integrity, instead of objectivity.

Question 11

Candidates were given draft disclosures and needed to evaluate them against an extract of IFRS S2.

What was done well	What could be done better
• Considerations of requirements (a) to (f) were generally well done and laid out systemically.	• Some candidates did not systematically work through the requirements. This would have helped structure their answer, making it easier to award marks. • Candidates tended to not conclude on whether requirements were met or not.

GENERAL COMMENTS TO CANDIDATES

- State the obvious, e.g. the ethical issue, or refer to the relevant standard/requirement - set the scene (theory) before going into the analysis/evaluation.

- On narrative questions, work through requirements and evaluate/discuss systematically. Structured thinking will help cover all the bases (and pick up the marks) and lead to a well-reasoned conclusion.

- Don’t post journal entries to bank or cash - think about where you are in the process.

- Avoid pasting chunks of text answers straight from excel sheets into Cirrus - this often leads to very poor presentation of the answers and makes it difficult to mark.

- Number your journals as you prepare them, especially if you know you are going to be posting to an excel spreadsheet – this will mean a logical approach is taken and you will be less likely to miss a journal.

- If asked to advise/explain etc, workings and journals are not a substitute for written narrative. Narratives can be brief but must be provided to score marks.



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